MEMORANDUM

RE: Nigeria tariff policy, 2023-2025. Capital allocation implications across refined petroleum, automobiles, and rice/agriculture
DATE: July 2026
SOURCE: Condensed from the full case study, *Tariffs Without a Strategy* (`paper/nigeria-tariff-policy-paper.md`). Full sourcing in `data/raw/*/sources.md`

Bottom line up front

Forget the tariff schedule. It won't tell you where to put your capital in Nigeria. Look for a single, well-capitalized domestic supply response that's already in motion. That's what actually determined outcomes across the three sectors we examined. Petroleum is investable now. Automobile assembly isn't investable at current scale. Rice is a pass unless you're entering as the next Dangote-style consolidator rather than backing a fragmented miller.

Sector	Tariff	Verdict	Why
Refined petroleum	~0.5% (effectively untaxed)	Investable	Real, fast import substitution is already underway: 85%+ refinery utilization, a 42% drop in the import bill in 2025. Tariff policy is lagging here. The refinery is driving this.
Automobiles	35-40%	Not investable at current structure	Heavy protection hasn't produced scale. Capacity utilization sits at 29.0% across 34 licensed assemblers. The enabling law, NAIDP, still isn't legally binding after 12+ years.

Rice/agriculture	70%	Pass, with one exception	You're looking at the highest tariff and the weakest enforcement result of the three sectors. Rice is Nigeria's single most-smuggled commodity. Your only real thesis here is backing a large-scale consolidator that can survive on production economics.

What the data actually shows, sector by sector

Petroleum. Dangote Refinery reached an estimated 85% of its 650,000 bpd nameplate capacity by mid-2025. Nigeria's petrol import bill fell 42% year-over-year as a result, from a currency-inflated N15.42tn peak in 2024 to N8.96tn in 2025. This happened with almost no tariff support. The one dedicated import duty of the period, 15% and approved in October 2025, was suspended three weeks later. The NNPC-Dangote naira-for-crude supply arrangement is doing the real work here. Here's a risk you should flag: that supply arrangement has already shown strain. There's a reported ~79.5 million-barrel shortfall between late 2025 and mid-2026, and Dangote has an active lawsuit disputing import-license enforcement. The substitution story is real. The institutional plumbing underneath it isn't fully stable yet. Underwrite this as a genuine structural shift with immature governance. Don't treat it as settled.

Automobiles. The tariff differential (0% for CKD kits, 10% for SKD, up to 40% for fully-built imports) is built like a working infant-industry policy. It hasn't worked. A primary NADDC document from April 2024, covering 34 licensed assemblers, shows an aggregate 29.0% capacity utilization, with a wide spread across firms. Innoson, the only wholly Nigerian-owned mass-market OEM, sits at 70%. Mikano International sits at 6.5%. PAN Nigeria sits at 20%. Twenty of 58 historically licensed companies had suspended operations entirely by March 2025, representing roughly $89.6M in stranded investment. Here's why you should stay out: the policy framework has never had the force of law. The original NAIDP's statutory term lapsed in 2024, and as of October 2025 industry was still publicly demanding a "NAIDP Bill" that doesn't exist. If you put capital into assembly today, you're betting on a policy that could be rewritten by executive order tomorrow. The Dangote refinery asset doesn't carry that risk. Its economics stand on their own.

Rice/agriculture. The 70% tariff is the highest of the three sectors, and it's earned the least trust. Nigeria remains a structural rice importer. Production and import data imply roughly 70-76% self-sufficiency across 2022-2025, though the underlying datasets disagree meaningfully on the trend direction. Rice was the single most-smuggled commodity through Nigerian Customs in Q1 2025, ahead of petroleum products and narcotics. The 2019 land-border closure, still only partially reversed, hasn't stopped that. Here's the one plausible entry point: Nigeria periodically opens narrow, high-eligibility-bar import windows. The July-December 2024 zero-duty window is one example. Favorable treatment increasingly goes to a small number of large operators, such as Imota Rice Mill and BUA Foods, rather than the fragmented mill base. So the thesis, if you want one, is "become the next favored large-scale operator." Backing the existing mill base and hoping the tariff protects it won't work.

Three things to watch, independent of sector

1. AfCFTA isn't a live constraint on Nigerian policy yet. Nigeria only gazetted its AfCFTA tariff schedule in 2025, and no source identifies where petroleum or automobiles even sit on that schedule. For decisions on a 2023-2026 horizon, treat Nigeria's unilateral tools, like subsidy policy, import licensing, forex allocation, and ad hoc duty waivers, as the dominant lever. That could change over a longer horizon as implementation matures.
2. Currency is moving most of the naira-denominated figures in this research, not tariff policy. The naira depreciated 40.9% in 2024 alone. If you read a naira-value import spike or decline as a volume signal without adjusting for FX, you'll overstate the effect of policy and understate the effect of currency.
3. Watch enforcement capacity, not just policy announcements. Nigeria has repeatedly announced strong measures, including a 15% petroleum duty, a 4% auto FOB levy, and a rice zero-duty window with strict eligibility, that got suspended, under-enforced, or contested within months. Look at what survives six months after the announcement. The announcement itself tells you nothing.

Full citations, data tables, and chart-generation code available in `data/raw/`, `data/processed/`, `outputs/`, and `models/`.